projects in the Terai region near India and enforced legislation that limited Indian labour. India saw these steps as cumulative violation of its prior agreements with Nepal, in particular the security and reciprocal elements of the 1950 India–Nepal Treaty of Peace and Friendship. In 1989, a prior trade and transit agreement between India and Nepal expired, and the result was an effective embargo on the country. Nepal's economy suffered as a result, and dissatisfaction with the King extended to the public. The year 1990 witnessed the popular Jan Andolan agitations by political parties, which included both the Nepal Congress and left. The King lifted the ban on political parties and elections were held in 1991. Nepal's new Constitution curbed the role of the King, and its democratically elected government pledged to remain sensitive to India's security concerns. [43]

More memorably, there was the 1987–90 Indian military intervention in Sri Lanka. The Sri Lankan civil war came about after many decades of simmering resentment by the Tamil minority, and after of a series of discriminatory laws and policies that had been advanced by majority Sinhalese-dominated governments. By the late 1970s, the movement had become militant and civil war broke out in the early 1980s. India was concerned about the rise of Tamil nationalism and its spread to India. It was also worried that Colombo might turn to other outside powers for support, including the United States, China, and Pakistan. This required India to play an active role in reconciling the situation, supporting Tamils, but also ensuring that their demands for a Tamil nation (*eelam*) were not realized. Initially, the main Tamil militant group—the Liberation Tigers of Tamil Eelam (LTTE) and its leader Velupillai Prabhakaran—benefited from Indian intelligence support and enjoyed considerable popularity among Indian Tamils. India also made relief efforts to besieged Tamil civilians by air in 1987. In July of that year, India brokered an accord to ensure peace, in which the Sri Lankan government in Colombo made certain concessions to the Tamils. As part of the agreement, an Indian Peace Keeping Force (IPKF) was dispatched to Sri Lanka, initially to oversee disarmament and maintain law and order. [44]